

Unusual Activity Reporting

GUIDELINES

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Beem
CREDIT UNION

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1 Purpose

This document provides guidance on the triggers and responsibilities regarding Unusual Activity Reports (UAR). This document is applicable to all Credit Union and subsidiary employees. Any interpretation of this document may be made by the Credit Union's CAMLO.

2 Employee Responsibilities

All employees must understand the requirements under the Proceeds of Crime Money Laundering and Terrorist Financing Act (PCMLTFA) that apply to them; this means that all employees that interact with members or review member information should know what is required and when it is required.

Employees can refer to their direct manager, or the [AML Compliance Department](#), for questions or support.

If a member is seeking further information on the Credit Union's regulatory requirements, they can be directed to the [FINTRAC website](#).

2.1 All Employee Responsibilities

All member-facing and back-office employees involved with transactions on accounts must be aware of our members' usual patterns of activities and behaviors. This will help employees identify unusual activity, protect our members and the Credit Union as a whole.

Unusual activity is any noticeable change outside the usual pattern of a member's behavior or any account activity which may indicate any of the following:

- Money Laundering
- Terrorist Financing
- Criminal Activity
- Tax Avoidance or Tax Evasion
- Sanctions Evasion
- Corruption
- Fraudulent Activity*
- Abuse of Authority/Appointment by a Power of Attorney or legally appointed Agent*
- Member is a potential victim of elder/financial abuse*
- Member is a potential victim of a scam (i.e., romance scam, employment scam, cryptocurrency scam, etc.) *

***Note:** For incidents involving fraudulent activity, refer to the [Fraud Intake Procedures](#) for further support. For incidents involving elder abuse or vulnerable members, refer to the [Vulnerable Members Guidelines](#) for further support.

An [Unusual Activity Report](#) must be completed by an employee within 24 hours of the event, then reviewed by Branch Management and sent to the [AML Compliance Department](#) for review within 2 business days of the event. Refer to the [Unusual Activity Reporting Procedures](#) for further guidance.

2.2 AML Compliance Department Responsibilities

The Credit Union is required by PCMLTFA legislation to report any activity or transactions in which there are Reasonable Grounds to suspect that a transaction is related to a money laundering or terrorist financing offence.

The AML Compliance Department will begin an investigation to determine whether the unusual activity meets the threshold required to support filing a *Suspicious Transaction Report (STR)*.

An STR will be filled by the AML Compliance Department and sent to FINTRAC as soon as reasonably practicable if the investigation provides Reasonable Grounds to suspect that a transaction is related to a money laundering or terrorist financing offence.

3 Identifying Unusual Activity

It is the collective responsibility of Credit Union employees to watch for—and identify—unusual activity. This may include but is not limited to financial transactions, account activity, or behaviours that differ from what is anticipated or expected. Unusual Activity can indicate the commission, or attempted commission, of a money laundering or terrorist financing offence.

Identifying and reporting Unusual Activity requires the due diligence of all employees in all activities including but not limited to:

- Conducting day-to-day transactions
- Conducting relationship and annual reviews
- Conducting membership approvals, exceptions, referrals, or reviews
- Conducting audit reviews
- Processing inquiries or applications for investments, credit, or accounts
- Processing back-office requests

When “unusual” activity is identified, it must be escalated to AML Compliance by submitting an [Unusual Activity Report](#). Refer to [Unusual Activity Reporting Procedures](#) for further guidance.

3.1 Attempted Transactions

An attempted transaction occurs when an individual or entity starts to conduct a transaction that is not completed. For example, a member walks away from conducting a \$10,000 cash deposit after being asked for additional information.

An attempt to conduct a transaction is not unusual on its own. However, when taken into consideration with other unusual activity indicators there may be Reasonable Grounds for suspicion of a money laundering or terrorist financing offence.

Unusual, attempted transactions must be reported to AML Compliance by submitting an [Unusual Activity Report](#). Refer to [Unusual Activity Reporting Procedures](#) for further information.

3.2 Reasonable Grounds

Reasonable Grounds is an evaluation of reasonable factors which would lead multiple parties to the same conclusion about the transaction/activities conducted, including but not limited to:

- Knowledge of your member's occupation/business
- Financial history
- Background
- Behaviour

While a single transaction or activity may not indicate potential money laundering, terrorist financing or fraudulent activity, when reviewed in conjunction with other information or knowledge about the member, it can support the decision for further review or monitoring by the AML Compliance Department.

3.3 Examples of Unusual Activity

Unusual Activity can include in-branch or remote transactions in addition to the Member's behaviour or activity and may include but is not limited to the following examples.

Unusual Activity examples:

- Visiting multiple branches within the same day
- Third-Party presence in the branch
 - Accompanying or watching the member conduct a transaction
 - Third-Party handing over ID for the member
 - Third-Party acting as the interpreter

Unusual Activity examples:

- Changes in historical transaction method (face-to-face versus remote)
- Abandoning a new membership, account, or credit facility application without explanation
- Refusal to provide information or identification
- Questions regarding Credit Union policies (reporting requirements, thresholds, controls, cash handling)
- Safe deposit box activity (frequency of access or request for multiple boxes)
- Using funds from a safe deposit box to purchase official drafts, term deposits
- Large third-party bank deposit requests
- Frequent ATM deposits below the LCT reporting threshold
- Non-member frequently making deposits to the account of another person who is not an employer or family member
- Activity does not make sense considering the member's profile and KYM information
- Discrepancy identified in beneficial ownership information provided by the member in comparison with the [Corporations Canada database](#)

3.3.1 Sanctions Evasion

The Credit Union holds additional legal obligations under Canada's sanctions laws and associated regulations with respect to monitoring and reporting of relevant property ownership, export and import of goods and other activity in connection with sanctioned individuals and entities.

Individuals and entities sanctioned by the Government of Canada are likely to deploy established techniques and channels to circumvent sanctions and use alternative financial channels to conduct transactions. Some key indicators of potential sanctions evasion to watch for include the involvement of:

- Intermediary Jurisdictions
- Opaque Corporate Structures
- Non-Resident Banking
- Proxies And Enablers
- Virtual currencies and other alternative financial channels

4 Common Money Laundering and Terrorist Financing Activities

It is the responsibility of each employee to detect and deter criminal activity in the Credit Union whenever it occurs. This section provides an overview of common money laundering and terrorist financing activities that may be seen in our transactions.

Additional indicators specific to money laundering and terrorist financing can be found in the [MLTF Suspicious Transaction Indicators List](#).

4.1 Money Laundering

Criminals generate inordinate amounts of cash, and must make their illegally acquired wealth appear legitimate to derive the maximum benefit from their illegal activities. This is called Money Laundering.

Some sources of Money Laundering can include the following illegal activities:

- | | |
|--------------------------|--------------------|
| • Drug trafficking | • Prostitution |
| • Illegal arms dealing | • Gambling |
| • Extortion | • Theft/burglary |
| • Fraud | • Tax evasion |
| • Copyright infringement | • Illegal cannabis |

4.1.1 Why Criminals Want to “Launder” Proceeds:

- Avoid prosecution
- Increase profits
- Avoid seizure of accumulated wealth
- Appear legitimate
- Tax evasion

4.1.1.1 Tax Avoidance Versus Tax Evasion

Tax avoidance can involve the legal and strategic minimization of taxes by utilizing provisions permitted under the *Income Tax Act*, such as deductions and credits. Examples of legal tax avoidance would be contributions to an RRSP to maximize after-tax income or leveraging tax credits to offset expenses.

Conversely, tax evasion is the illegal and criminal act of deliberately not paying taxes through deception or concealment practices. Examples of tax evasion include intentional underreporting of income, such as rental income, or hiding wealth.

Indicators of tax evasion may include statements made by the member regarding:

- Not declaring all income, including rental income
- Accepting cash payments “under the table”
- Not filing tax returns
- Creation of illegitimate business to claim losses and reduce taxes

Other red flags may pertain to a lack of documentation, or the presentation of falsified records during a lending application:

- Presentation of false or deceptive documents or records
- Declared income does not match reported income on tax records
- Member is unable to provide the tax records required for a lending application

Additional indicators may be present in transactional and general account activity:

- Business transactions flowing through a personal account
- Overtly complex ownership structures or shell corporations with no apparent business purpose
- Transfers to and from offshore accounts in tax haven countries

4.1.2 Common Money Laundering Methods

Method Type	Definition
Smurfing (Structuring)	When an individual breaks down a larger sum of cash into many smaller deposits to avoid detection or triggering a reporting threshold.
Asset Purchases with Large Sums of Cash	Money launderers purchase big ticket items such as cars, boats, or real estate with proceeds of crime. Often, the money launderers may use the asset but distance themselves by registering assets in a friend or nominee’s name.

Method Type	Definition
Credit Card Overpayment	Overpaying credit cards and keeping a high credit balance that can be turned over to cash at any time and place.
Gambling in Casinos	Cash derived from criminal activity may be taken to a casino to purchase chips. After gambling and placing normal bets, chips are cashed out at the cashiers' cage where a casino cheque is issued for the balance hiding the original source of funds, cash.
Refining	The process of exchanging smaller denominations of cash into larger bills. An individual may visit several financial institution locations and exchange smaller values of cash to larger bills so as not to arouse suspicion. The purpose of refining is to decrease the bulk of larger cash quantities.
Co-mingling	Mixing proceeds of criminal activity with legitimate income. For example, a cash intensive business such as a gas station or nail salon may be used to co-mingle proceeds of criminal activity with legitimate business income to launder funds and give the appearance of legitimate income.
Loan back	A criminal provides an associate with a specific amount of illegitimate money. The associate then provides a "loan or mortgage" back to the criminal for the same amount with all necessary "loan and/or mortgage" documentation. This creates an illusion that the criminals' funds are legitimate. The scheme is re-enforced through "legitimately" scheduled payments on the loan by the criminal.

4.2 Terrorist Financing

Terrorist Financing is the process by which terrorists fund their operations to perform terrorist acts. Terrorists need financial support to carry out their activities and to achieve their goals. There is little difference between terrorists and other criminals in their use of the financial system.

A successful terrorist or terrorist group, much like a criminal organization, is one that can build and maintain an effective financial infrastructure. To do so, the group or the individual must develop sources of funding and means of obscuring the links between those sources and the activities they support. They need to find a way to make sure the funds are available and can be used to purchase goods or services for terrorist acts.

The sums needed to mount terrorist attacks are not always large, and the associated transactions are not necessarily complex. There are two primary sources of financing for terrorist activities:

- Financial support from countries, organizations or individuals
- A wide variety of revenue-generating activities, some illicit, including smuggling and credit card fraud

4.3 Ministerial Directives

A Ministerial Directive is a written directive issued by Canada's Minister of Finance that sets out specified countermeasures that the Credit Union must apply when conducting transactions to or from a designated jurisdiction or entity. Refer to the Credit Union's [Ministerial Directive Guidelines](#) for further information.

These directives are issued to protect Canada's financial system from foreign jurisdictions and foreign entities that are considered to present high risks for facilitating money laundering (ML) and terrorist financing (TF). If an employee identifies unusual activity related to a transaction to or from a country with a Ministerial Directive, an [Unusual Activity Report](#) must be submitted to the [AML Compliance Department](#).

4.4 Willful Blindness

Willful Blindness arises when people, aware that a situation should be investigated, do not follow through because they do not want to face reality.

Example: A Credit Union employee has a member who wants to buy a term deposit for \$25,000 cash. The member produces a gym bag with \$25,000 in \$20 and \$50 dollar bills. Although this method of payment is highly unusual and the employee's suspicions are instantly aroused (but not enough to jeopardize the sale), an opportunity for a quick sale silences any questions that should have been asked by the employee.

By ignoring key indicators of Money Laundering, an employee may have directly participated in such a scheme through Willful Blindness. Should an employee be identified as having turned a blind eye, there are several repercussions that may result, including:

- The Credit Union may be imposed a fine for not reporting unusual activity
- The employee may be imposed a fine, sentenced to jail time, or both, for aiding in Money Laundering activities
- The employee may be terminated from their employment with the Credit Union

4.5 Preventative Strategies

When dealing with members, ask yourself the following questions:

- How well do I know this member?
- Do I fully understand the transaction the member wishes to complete?
- Am I comfortable with this transaction?
- Does this transaction make sense considering the member's profile?
- Is this a usual method for conducting other similar transactions?

Given the information collected around the member or situation, a determination will then be made whether the activity being requested is in line with the information known about the member (KYM information) or whether an [Unusual Activity Report](#) should be completed and escalated to the [AML Compliance Department](#).

4.6 Impact of Money Laundering on Society

The Proceeds of Crime that creep into the Canadian financial system are staggering and affect all levels of society.

Drug trafficking alone generates billions of illegal dollars for criminal organizations every year. Although it is difficult to pinpoint the exact amount, the problem is vast.

Organized money laundering has devastating social consequences. Laundered funds provide financial support for drug dealers, terrorism, arms' dealers and other criminals to operate and expand their criminal empires. Investigations reveal that criminals manipulate financial systems in Canada and abroad to foster a wide range of illicit activities.

4.7 Tipping Off

Employees are not allowed to inform a member(s) of the contents of a Suspicious Transaction Report, or that you have made or will make such a report.

It is important not to "tip off" the member about the fact that you are filing a Suspicious Transaction Report or that a Suspicious Transaction Report has been previously filed, therefore, you should not be requesting information that you normally would not request during a transaction if you believe this would lead to tipping off.

Employees cannot:

- Advise a member or non-member that the Credit Union will be reporting a STR to FINTRAC
- Counsel the member or non-member on how to proceed with a transaction so that the employee can avoid reporting the transaction to FINTRAC

Tipping off a member when planning to file a Suspicious Transaction Report can be perceived as interfering with a possible investigation. If an employee is charged and convicted, they could potentially face jail time, a fine, or both.

5 Policy References

Anti-Money Laundering and Anti-Terrorist Financing (AML ATF) Policy

Version History

DATE	VERSION	CHANGE
May 29, 2026	004	Sections Added: • Sanctions Evasion • Tax Avoidance Versus Tax Evasion Sections Updated: • All Employee Responsibilities • Identifying Unusual Activity • Examples of Unusual Activity
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